AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2016

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are EIGHT questions. Answer ALL questions. Questions 7 & 8 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 7 Marks)

Read the following case and answer questions 1a and 1b.

Ammar worked in a company that produced soft drinks. He decided to leave the job and start his own business. As he did not have sufficient money and marketing experiences, he formed a partnership with Amir (a wealthy person and a qualified marketer) by the name of A & A Partners.

a. Identify and explain TWO reasons due to which Ammar would have decided to leave his job and start his own business? (4 Marks)

b. Explain THREE advantages of having Amir as a partner in the partnership firm. (3 Marks)

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Q.2. (Total 5 Marks)

In order to motivate the employees, the Human Resource Manager of Bisma Clothing Limited suggested to increase the salaries by 20% and to issue visiting cards to all employees.

Define motivation and analyse any TWO effects of the suggestions stated in the above scenario on the business.

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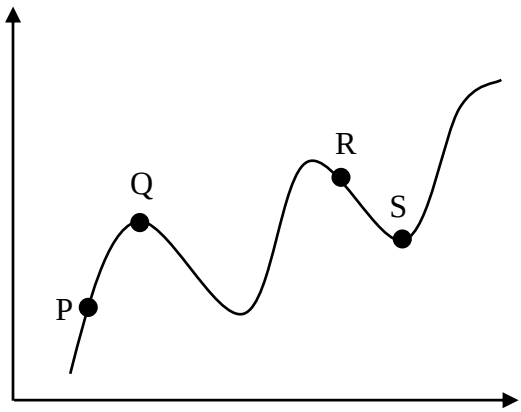
Q.3. (Total 7 Marks)

a. Define 'business cycle'. (1 Mark)

_____

_____

b. The given graph shows a business cycle.



Identify and define the labelled phases of the given business cycle. (6 Marks)

(**NOTE**: The first part has been done for your assistance.)

Points	Identification	Definition
P	**Recovery phase**	A phase or period in which the economy is couping up with the economic problems. The economic conditions will improve during this period.
Q		
R		
S		

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Q.4. (Total 6 Marks)

a. Identify the following as either cash transactions or credit transactions in the given table. The first part has been done for your assistance. (3 Marks)

S. No.	Transaction	Identification
1	Paid salaries to workers	Cash transaction
2	Bought machine by issuing cheque	
3	Received the money as commission	
4	Bought goods on payment term of 7 days	

b. Complete the following table by explaining the given concepts of accounting. (3 Marks)

Concept	Explanation
Going Concern	
Money Measurement	
The Cost Concept/ Historical Cost Concept	

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Q.5. (Total 6 Marks)

a. Sohail is a computer engineer who has launched a new software. Since the market for computer software is very volatile, he wants to earn maximum profit in the beginning by selling his product.

Identify and explain the most appropriate pricing strategy to be used by Sohail. (3 Marks)

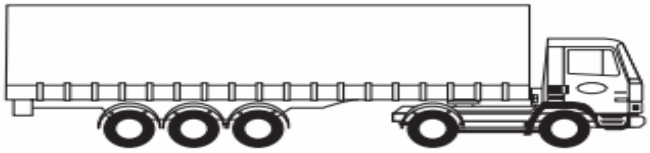
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b. The pictures below show three means of transportation labelled as **A**, **B** and **C**.

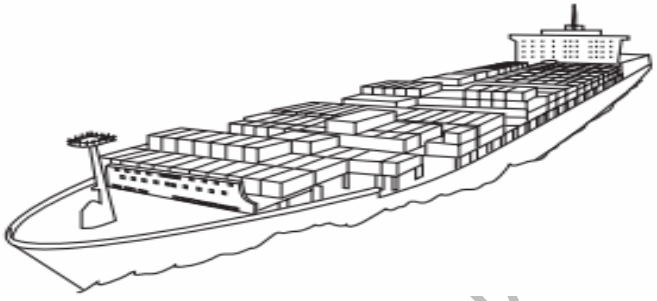
A



B



C



Mr Mateen is running a multinational transportation company. He has the following goods to transport:

i. Cocoa beans to be transported from a plantation in Africa to a chocolate factory in USA.

ii. Fresh flowers to be transported from a farm in Pakistan to a retailer in France.

iii. Crude oil to be transported from Sui (Balochistan) to a refinery in Karachi (Sindh).

Which mode of transport should be used by Mateen for each consignment? (3 Marks)

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Q.6. (Total 3 Marks)

Write any THREE differences between 'Job Description' and 'Job Specification'.

Basis for Comparison	Job Description	Job Specification
Meaning		
Prepared from		
Comprises of		
What is it for? (Purpose)		
Describes		

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Q.7. (Total 8 Marks)

EITHER

a. Rashid Limited is a manufacturing business based in Pakistan which produces towels and blankets. The Board of Directors (BOD) is planning to expand their business but because of financial and legal issues in other countries, they are unable to work on their plan.

Recently the Government of Pakistan has issued the following advertisement

Advertisement Advertisement

Government's Export Friendly Measures

The Government has set up a new department to help and increase exports.

This department will be involved in providing advisory services, loans at low rate and subsidies to make export easier.

The objective is to increase employment, better economic growth, exchange rate and to enter new market.

Explain FOUR benefits of the above mentioned measures introduced by the government for Rashid Limited.

OR

b. Imtiaz Store is a chain of supermarkets operating as a large-scale retailer.

Explain any FOUR advantages of such large-scale retailing.

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Q.8. (Total 8 Marks)

EITHER

a. 'Training is crucial for organisational development and success. It is fruitful for both employers and employees of an organisation.'

Analyse any FOUR benefits of training for a business organisation.

OR

b. 'Financial statements are the final product of accounting. These statements show the balance sheet and profit and loss account of a company.

With reference to the above statement, analyse FOUR key objectives of preparing a financial statement with respect to key users.

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END OF PAPER

Please use this page for rough work

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